

Equivalent Citations

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Krishna Gold Through Proprietor Vanktesh Laddha v. The State Of Madhya Pradesh

Madhya Pradesh High Court (Jan 8, 2025)

CASE NO.

WP 375/2025

DISPOSITION

REMANDED

JUDGES

- HON'BLE SHRI JUSTICE SUBODH ABHYANKAR

ATTORNEY

- Lokendra Joshi
- Advocate General

SUMMARY**Factual and Procedural Background**

The writ petition was filed under Article 226 by Krishna Gold through proprietor Vanktesh Laddha challenging freezing of the petitioner's current account No. 42710200002016 with Bank of Baroda (Respondent No.3). The Bank informed the petitioner that the account was frozen at the instance of Respondent No.2, Senior Police Inspector, *Cybercrime* Police, Solapur, Maharashtra. The petitioner relies on a cheque bearing a bank endorsement showing the account freeze. The petitioner contends a questioned transaction with one Pitambar Das prompted the action and seeks quashing of the impugned action, restoration of the account and costs.

Legal Issues Presented

1. Whether the bank's freeze on the petitioner's account can be relaxed to permit operation of the account while the disputed amount is preserved in a fixed deposit.
2. Whether the court should direct that the disputed amount be kept in fixed deposits and allowed to be liquidated only after orders by the competent Judicial Magistrate within a stipulated period, following *cybercrime* police action under Section 102 Cr.P.C. or other

law relied upon.

Arguments of the Parties

Petitioner's Arguments

- The petitioner is a proprietary firm engaged in gold trading whose bank account was frozen at the instance of the *Cybercrime* Police, Solapur.
- The freeze is connected to a transaction involving Pitambar Das which the *cybercrime* agency alleges to be dubious.
- Evidence of the freeze is shown by a cheque endorsed by the Bank.
- The petitioner agrees that the disputed amount may be kept in a fixed deposit and requests that the petitioner be allowed to operate the account.

Table of Precedents Cited

Precedent	Rule or Principle Cited For	Application by the Court
Gautam Bhandari and Others Vs. State Bank of India and Others, W.P. No.30822/2024 dated 25.10.2024	Direction to keep disputed amount in fixed deposit and permit liquidation only after orders by competent Judicial Magistrate within three months; expectation that <i>cybercrime</i> police proceed under Section 102 Cr.P.C. or other law relied upon.	The court applied the same direction in the present petition: bank to keep disputed amount in fixed deposit, liquidatable only after magistrate's order within three months, failing which petitioner may withdraw amount.
Malcolm Murayis and Others Vs. State Bank of India and Others, W.P. No.1100/2024 dated 26.04.2024	Referenced as an earlier order demonstrating the court's approach to similar account-freeze matters (noted issues with <i>cybercrime</i> cells' responses to banks).	The court relied on the line of precedents including this case to justify directing that disputed funds be placed in fixed deposits while criminal/ procedural steps proceed.

Court's Reasoning and Analysis

The Court heard submissions and examined record material, found the petitioner's proposal reasonable and innocuous, and observed that keeping disputed funds in fixed deposits causes no prejudice to the Bank or the *cybercrime* agency. Relying on its prior decision in Gautam Bhandari (and noting the approach reflected in Malcolm Murayis), the Court concluded that identical relief is appropriate: preserving the disputed amount in fixed deposits while directing the competent Judicial Magistrate to proceed in accordance with

law (including Section 102 Cr.P.C.) within three months, after which the funds may be liquidated in accordance with the magistrate's orders or, failing requisite action by the *cybercrime* agency within the period, be allowed to be withdrawn by the petitioner under intimation to the agency.

Holding and Implications

HOLDING: The petition is **allowed** and **disposed of**. The Court directed Respondent No.3/ Bank to keep the disputed amount, as informed by the *cybercrime* agency (Respondent No.2), in a fixed deposit; the fixed deposit may be liquidated only after orders by the competent Judicial Magistrate within three months, and, if the *cybercrime* agency fails to act within that period, the petitioner may be permitted to withdraw the amount under intimation to the agency.

Implications: The immediate effect is restoration of the petitioner's ability to operate subject to the disputed sum being preserved in fixed deposits under the court's directions. The opinion applies the court's established practice in similar matters; it does not purport to announce a new legal precedent beyond the directions given in the judgment.

NEUTRAL CITATION NO. 2025:MPHC-IND:509

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W.P. No.375 - 2025

IN THE HIGH COURT OF MADHYA PRADESH

AT INDORE

BEFORE

**HON'BLE SHRI JUSTICE SUBODH ABHYANKAR ON THE 8th OF JANUARY,
2025 WRIT PETITION No. 375 of 2025**

KRISHNA GOLD THROUGH PROPRIETOR VANKTESH LADDHA

Versus

THE STATE OF MADHYA PRADESH AND OTHERS

Appearance:

Shri Shantanu Sharma- Advocate for the petitioner. Shri Raghav Shrivastava- P.L./G.A. for the State.

ORDER

This petition has been filed by the petitioner under Article 226 of the Constitution of India, seeking the following reliefs:-

"In the facts and circumstances of the case the Petitioner humbly prays as under :

A) That the Hon'ble Court be pleased to issue a writ, direction or order in the nature Mandamus or other appropriate Writ quashing the impugned action of the Respondents and restore the current account being no 42710200002016 of the Petitioner with the Bank Of Baroda Respondent no3.

B) Cost of this Petition.

C) Such other relief/ reliefs this Hon'ble Court deems fit."

2] The grievance of the petitioner is that the petitioner is a proprietary firm, engaged in gold trading, and its account at Bank of Baroda has been freezed at the instance of respondent No.2, the Senior Police Inspector, *Cybercrime* Police, Solapur, Maharashtra, as has been informed to the petitioner by the Bank. The account of the petitioner has been freeezed can also be demonstrated by the cheque, which was deposited by the petitioner,

on which the Bank authorities have endorsed that the account has been freezed.

3] Counsel for the petitioner has submitted that according to the information received, there is some transaction by the petitioner firm with one Pitambar Das, which, according to the respondent No.2 is of dubious nature, which has led to freezing of the petitioner's bank account.

4] Counsel has also drawn the attention of this Court to an order passed in an identical case, in the case of *Gautam Bhandari and Others Vs. State Bank of India and Others* passed in *W.P. No.30822/2024* dated 25.10.2024

wherein also, in an identical case, this Court had granted a relief to the petitioner that the amount which is disputed may be kept in a fixed deposit by the bank, with further direction that the competent Judicial Magistrate shall proceed in accordance with law under Section 102 of Cr.P.C.. Thus, it is submitted that the petitioner also agrees that the amount relating to questionable transaction may be kept in a fixed deposit, and the petitioner may be allowed to operate his account.

5] **Heard.** On due consideration of submissions and on perusal of the documents filed on record, this Court finds the prayer reasonable and innocuous, as no prejudice would be caused either to the Bank or to the respondent No.2, if the disputed amount is kept in fixed deposits, as has been ordered by this Court in the case of *Gautam Bhandari (Supra)*. Thus maintaining the prity, this Court is inclined to allow the present petition as well.

6] So far as the order passed by this Court in the case of *Gautam Bhandari (Supra)* is concerned, the same reads as under:-

1. This petition has been filed by the petitioners under Article 226 of the Constitution of India, seeking the following reliefs:-

"It is therefore most humbly prayed by the petitioner that by a suitable writ order or direction this Hon'ble Court may be pleased to: -

a) This petition may kindly be allowed with cost.

b) To direct the Respondent No. 6 to 10 thereby directing Respondents to remove the hold/freeze on the Bank account of petitioners.

c) Issue such other orders, writ, and direction as this Hon'ble court deems fit in the interest of justice in favour of petitioner. "

2. The grievance of the petitioners is that their accounts have been freezed on account of some fraudulent activity.

3. Counsel for the petitioners has submitted that the petitioners are medical students, studying in fourth semester in Aurobindo College, Indore and were also trading in Crypto currency, in which the aforesaid transactions were made in their accounts. It is submitted that the petitioners may be allowed to operate their accounts, as the disputed entries are already on hold.

4. Counsel for the respondent No.1/ SBI has submitted that no case for interference is made out, however, it is not denied that on earlier occasions, this Court had passed various orders and one such order was passed in the case of [Malcolm Murayis and Others Vs. State Bank of India and Others, W.P. No.1100/2024](#) dated 26.04.2024.

5. Heard. On due consideration of submissions and on perusal of the documents filed on record, it is found that so far as the order passed in the case of ***Malcolm Murayis (Supra)*** is concerned, it has been observed as under:-

"8] In compliance of the aforesaid order, State Bank of India has already sent emails to the concerned cyber crime cell of various police stations but except the cyber crime cell of Bangalore, Karnataka / respondent No.4 in connected petition W.P. No.1185/2024, no other police station has taken trouble to respond to the emails sent to them, which also demonstrates the poor functioning and irresponsible approach of the said cyber crime cells of various States as on one hand they had sent emails to the various banks to freeze certain accounts, and on the other hand they are not willing to respond to the emails sent to them.

9] In such circumstances, this Court is inclined to dispose of this petition with a direction to the respondents/ Bank to keep the disputed amount as informed to them by various cyber crime agencies, in fixed deposits, which shall be allowed to be liquidated only after the orders are passed by the competent Judicial Magistrate **within three months' time** as it is expected from the *cybercrime* police to proceed in accordance with law under Section 102 of Cr.P.C., or any other law on which they are relying upon, failing which the amount so kept in FDs may also be allowed to be withdrawn by the petitioners under intimation to the *cybercrime* agencies."

(Emphasis Supplied)

6. On due consideration of the reliefs sought by the petitioners, as also the aforesaid order, this Court is inclined to dispose of this petition

with a direction to the respondents/Bank to keep the disputed amount as informed to them by various cyber crime agencies, in fixed deposits, which shall be allowed to be liquidated only after the orders are passed by the competent Judicial Magistrate **within three months' time** as it is expected from the *cybercrime* police to proceed in accordance with law under Section 102 of Cr.P.C., or any other law on which they are relying upon, failing which the amount so kept in FDs may also be allowed to be withdrawn by the petitioners under intimation to the *cybercrime* agencies.

7. With the aforesaid direction, the petition stands ***disposed of***.

7] Accordingly, the present petition stands ***allowed*** with a direction to the respondent No.3/Bank to keep the disputed amount as informed to them by *cybercrime* agency (the respondent no.2), in a fixed deposit, which shall be allowed to be liquidated only after the order is passed by the competent Judicial Magistrate **within three months' time** as it is expected from the *Cybercrime* Police to proceed in accordance with law under Section 102 of Cr.P.C., or any other law on which they are relying upon, failing which the amount so kept in FDs may also be allowed to be withdrawn by the petitioner under intimation to the *Cybercrime* agency.

8] With the aforesaid, the petition stands ***allowed*** and ***disposed of***.

(SUBODH ABHYANKAR)

JUDGE

Bahar